CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
MUNICIPAL INFRASTRUCTURE SUPPORT PANEL – ELECTRIC & GAS

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I. Introduction

A. Introduction and Qualifications of Panel Members

Q. Would the members of the Municipal Infrastructure Support Panel ("MISP" or "Panel") please state your names and business addresses?

A. Our names are Nicholas Inga, Cherno Cham, Dennis Brady and John Minucci. Our business address is 1610 Matthew Ave, Bronx, NY 10462.

Q. By whom are the Panel members employed?

A. We are employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company").

Q. In what capacity are the Panel members employed?

A. (**Inga**) I am Vice President of Construction, and my overall responsibility is to oversee both the contractor and in-house work forces that install electric and gas facilities in the Con Edison service territory. Additionally, I oversee all major capital improvement projects in our generating, substation and other facilities, along with maintaining the integrity of our electric, gas and steam systems during municipal construction projects.

(**Cham**) I am General Manager of Public Improvement. My current responsibilities are to oversee the construction

and engineering coordination for all municipal projects that impact Con Edison's service territory. This requires planning, coordinating, analysis, operational support and negotiating with contractors to facilitate the administration of projects.

(**Brady**) I am Department Manager of Public Improvement Engineering and Planning. My current responsibilities are to oversee the operational support and engineering coordination for all municipal projects that impact Con Edison's service territory. This requires planning, coordinating, analysis, and operational support to facilitate the administration of projects.

(**Minucci**) I am Department Manager of Public Improvement Construction. My current responsibilities are to oversee the construction coordination for all municipal projects that impact Con Edison's service territory. This requires planning, coordinating, analysis, negotiating and operational support to facilitate the administration of projects.

Q. Please state your educational background.

A. (**Inga**) In 1992, I graduated from Polytechnic University with a Bachelor of Science in Mechanical Engineering, and

in 1997, from Fordham University with a Masters of Business Administration degree in Corporate Finance.

(**Cham**) In 2005, I graduated from New Jersey Institute of Technology with a Bachelor of Science degree and in 2010 a Masters of Science degree in Civil Engineering.

(**Brady**) In 2002, I graduated from State University of New York at Buffalo with a Bachelor of Science degree in Mechanical Engineering and a Bachelor of Arts degree in Economics. Additionally, in 2006, I graduated from Pace University with a Masters of Business Administration.

(**Minucci**) In 2001, I graduated from St John's University with a Bachelor of Science degree in Accounting and in 2002, with a Masters of Science degree in Accounting.

Q. Please describe your work experience.

A. (**Inga**) In 1992, I joined the Company's Corporate Intern Program and have since held various positions of increasing responsibility in Gas Operations, Treasury and Shared Services. In April 2008, I was promoted to General Manager of Stores Operations, where I was responsible for the Company's supply inventory and order fulfillment processes. In June 2011, I was appointed to the position of Director of the Gas Conversion Group. In January 2015, I was

assigned to Manhattan Gas Operations as General Manager. In 2017, I was promoted to Vice President of Gas Operations. In 2024, I assumed my current position as Vice President of Construction.

(**Cham**) I joined Con Edison in 2005 as a management intern in the Company's Growth Opportunities for Leadership Development ("GOLD") program. Since then, I have held positions of increasing responsibility in the Company including, Chief Construction Inspector in Substation Construction, Senior Specialist in Construction Management Electric, Project Specialist in Electric Project Management, and Construction Manager in Construction Management Gas. In 2022, I assumed my present position as General Manager in Public Improvement.

(**Brady**) I joined Con Edison in 2002 as a management intern in the Company's GOLD program. Since then, I have held positions of increasing responsibility in the Company, including Operating Supervisor in Bronx/Westchester Electric Construction, Senior Analyst for Manhattan Electric, Project Manager in Energy Management, Section Manager for the Brooklyn/Queens Equipment Group, and Construction Manager for Public Improvement. In 2021, I

assumed my present position as Department Manager in Public Improvement.

(**Minucci**) I joined Con Edison in 2002 as a management intern in the Company's GOLD program. Since then, I have held positions of increasing responsibility in Public Improvement and Electric Operations. Starting in 2004, I was an Analyst, Chief Construction Inspector, Project Specialist and Construction Manager in Public Improvement. In 2019, I was appointed the Electric Operations Section Manager in the Brooklyn/Queens Equipment Group. In 2023, I assumed my current position as Department Manager in Public Improvement.

Q. Do you belong to any professional organizations?

A. (**Inga**) I am currently a Board Advisor of the Construction Industry Institute, former member of the American Gas Association ("AGA") Operations Managing Committee, and former Chair of the AGA Field Operations Committee. I am also a former President and current Board member of the Society of Gas Lighting, and a former member of various Northeast Gas Association ("NGA") technical committees, as well as the Gas Utilization Advisory Group.

(**Cham**) No.

(**Brady**) No.

(**Minucci**) No.

Q. Have any members of the Panel previously testified before the New York State Public Service Commission ("PSC" or "Commission")?

A. (**Inga**) Yes, I testified before the Commission in previous gas rate case proceedings as part of the Gas Infrastructure and Operations Panel (Cases 22-G-0065, 19-G-0066, 16-G-0061, and 13-G-0031).

(**Cham**) Yes, I testified before the Commission in a previous rate case proceeding as part of the Municipal Infrastructure Support Panel (Case 22-S-0659).

(**Brady**) Yes, I testified before the Commission in previous rate case proceedings as part of the Municipal Infrastructure Support Panel (Cases 22-S-0659, 22-E-0064 and 22-G-0065). I additionally testified in regard to the Management Audit Panel (Cases 13-E-0030, 13-G-0031, and 13-S-0032).

(**Minucci**) Yes, I testified before the Commission in the Municipal Infrastructure Support Panel (Cases 19-E-0065 and 19-G-0066).

B. Purpose of Filing

Q. Please summarize and briefly explain the purpose of the Panel's testimony.

A. The panel will describe the nature of interference, the administrative rules that require the Company to perform interference work, the financial forecast methodology, financial projections for O&M and capital, cost mitigation measures, and a proposed fully bi-lateral reconciliation mechanism for these costs in the rate period.

Q. Please summarize the areas your testimony addresses.

A. Our testimony addresses:

(1) The definition and significance of interference as it relates to the Company's systems;

(2) Interference Forecast Methodology;

(3) Projected Operations and Maintenance ("O&M") interference costs associated with the Company's electric and gas facilities for the 12 months ending December 31, 2026 ("Rate Year," "Rate Year 1," or "RY1"), the 12-month period ending December 31, 2027 ("Rate Year 2" or "RY2,"), and the 12-month period ending December 31, 2028, ("Rate Year 3" or "RY3"), respectively for ease of reference;

(4) Projected Capital interference costs associated with the Company's electric and gas facilities for calendar years 2026 to 2028 (i.e., RY1 through RY3);

(5) Mitigation Measures the Company undertakes to reduce its interference costs; and

(6) A proposal for reconciliation of interference capital and O&M expenses.

Q. Will you be introducing any exhibits as part of your testimony?

A. Yes, we will be introducing the following exhibits:

- MISP-1 - NYC OMB Expenditures and OMB Forecasts;
- MISP-2 – Actual and Forecasted O&M Expenditures; and
- MISP-3 - Actual and Forecasted Capital Expenditures.

C. Definition and Significance of Interference

Q. Please explain the term "interference" as it pertains to the Company.

A. Con Edison has an extensive system of gas and electric facilities under and above the streets in the service territory, including but not limited to gas mains, gas services, manholes, vaults, electric services, electric cables, conduits, poles, and appurtenances of various sizes and operating voltages. Under the streets, Con Edison gas

and electric facilities share space with privately-owned facilities such as telephone and cable TV, and with municipally owned facilities such as water, sewer, transit and traffic facilities. Above ground, Con Edison electric overhead facilities share space with telephone, cable TV, fire alarm, street lighting and traffic signals.

The term "interference" describes the work Con Edison must perform whenever its overhead or underground facilities are "in the way" on a municipal project and therefore must be located, identified, relocated, replaced, protected, or otherwise supported to accommodate the municipal project.

Q. Why is the Company required to perform interference work associated with municipal projects and some state projects?

A. As per the advice of counsel, the courts have held that Con Edison's right to lay and maintain its facilities pursuant to a franchise granted by a municipality is subject to the municipality's right to require Con Edison to remove or relocate its facilities at the Company's expense whenever the public health, safety or convenience require. If the Company is unable to comply with such a request by the municipality, the Company may be liable for penalties associated with failing to support the municipal work. The

City of New York has enhanced its right to require utilities to perform interference work by enacting New York City Administrative Codes sections 19-143 (Excavations for Public Works), 24-521 (Excavations for Public Works), and 19-150 (Civil Penalties) that, along with court decisions interpreting these franchise provisions, impose financial penalties up to $10,000 on the Company on a per day, per location basis, if the Company does not timely relocate or protect its facilities located at the site of public works projects underway for the benefit, health or safety of the residents of the City. New York State also has provisions for public utilities in New York Highway Law Article 52, and Part 131 of the NYSDOT Rules and Regulation – NYCRR Title 17 (Accommodation of Utilities within State Highway Right-Of-Way) that specify the facility owners are required to maintain their facilities.

Q. Please explain the difference between "direct" and "indirect" interference.

A. "Direct" Interference occurs when an existing Con Edison facility must be located, identified, and relocated to accommodate a new municipal facility. "Indirect" interference occurs when Con Edison must locate its

facilities and monitor municipal construction or take steps to protect, but not move, its facilities. Indirect interference includes, for example, compensating the municipal contractor for performing utility work or for making incremental changes to its work plan to accommodate Con Edison facilities, such as a change to the proposed trench sheeting and shoring system to accommodate Company facilities.

Q. What is the difference between municipal interference and private interference.

A. Municipal interference is work done by or on behalf of Con Edison to accommodate a municipal project. Private interference is work done by or on behalf of Con Edison to accommodate a non-government project.

Q. Please describe the cost responsibility for municipal interference and private interference.

A. As a general matter, municipal interference costs are assigned to Con Edison for recovery through rates. For example, if the City of New York ("City") installs or repairs a sewer or water main in the vicinity of the Company facilities, then all costs to locate, move, support, protect and or relocate the affected Con Edison

facilities are assigned to Con Edison for recovery from customers.

There are some exceptions to this general rule. For example, certain governmental authorities, such as the New York City Transit Authority and Port Authority of New York & New Jersey, may reimburse the Company for interference costs.

In contrast to the general rule for municipal interference all private interference costs are borne by the private entity.

Q. What types of municipal construction activities typically result in interference with Company facilities?

A. The typical municipal projects that affect Company facilities are the installation of water mains, sewers, drainage facilities, reconstruction of roads, highway bridges, curbs, sidewalks, and the repaving of roadways.

Q. What types of interference costs are attributable to paving roadways?

A. When a municipality repaves a street or modifies the pavement around a Con Edison facility, Con Edison may need to raise, lower, or otherwise modify one of its structures

(e.g., raising or lowering the castings of manholes). The resulting costs are interference expenses.

Q. Are there other types of governmental activities that affect the Company's interference expenses?

A. Yes. Any governmental project that requires Con Edison to locate, identify, alter, monitor, protect, replace or otherwise support a Company facility results in a municipal interference expense. For example, when a New York State bridge is repaired, replaced or modified, Con Edison may incur interference expense if existing Company infrastructure is required to be supported, relocated or replaced.

Q. How often does the Company have to support, protect and/or relocate its facilities due to interference?

A. On any given day, there are hundreds of municipal projects being planned, engineered or constructed within the Company's service area. These projects are initiated by various New York City organizations such as the Department of Design and Construction ("DDC"), Department of Transportation ("DOT"), Department of Environmental Protection ("DEP"), Department of Parks, Bureau of Bridges, and the Economic Development Corporation ("EDC"), in

addition to various Westchester County municipalities. The projects may be planned, or they may result from an emergency, such as responding to a water main break. In either case, any resulting municipal activities will typically impact Con Edison facilities located in that area and, therefore, may present interference issues.

Q. Does the Company coordinate with municipalities in order to mitigate interference costs?

A. Yes. The Company coordinates with municipalities to mitigate interference costs both during the design and the construction phases of municipal projects.

During the design phase, the Company works with a municipality to identify project alternatives that eliminate or mitigate any interferences. For example, if a municipality proposed a new water main that either directly or indirectly interfered with an existing electric or gas facility, the Company would work with a municipality to identify an alternative location for the water main or an alternative project design to the extent feasible. The Company would then pay the municipality the incremental cost of implementing the changes, with the goal of achieving an overall project synergy among all stakeholders

and reducing the project's duration and/or cost to the Company.

During the construction phase, the Company would continue to work with the municipality to reduce any impact on Company facilities. For example, if during construction a gas facility, not previously identified, is found to be in direct or indirect interference with the proposed municipal plan, the Company would work with the municipality to develop and implement an alternative plan or field modification to eliminate or mitigate the interference.

Q. Is it possible to avoid or mitigate all interference conditions through municipal design changes and construction phase accommodations?

A. No. Despite best coordinated efforts, due to the heavy congestion of various underground facilities within the streets, relocating or supporting Company facilities is generally unavoidable.

Q. Is the City the primary municipality that drives the level of the Company's interference expenditures?

A. Yes. The City's Capital Infrastructure Improvement Program is the primary driver of the Company's interference expenditures, both for capital and O&M. Other

municipalities in Westchester County and certain New York State projects also result in interference costs.

Q. Why does the Company need to replace infrastructure during municipal infrastructure projects?

A. The Engineering phase and Construction phase provide the Company an assessment period of the existing age, materials used, and site conditions. Based on these variables, the Company may elect to replace facilities with new materials that meet current standards and specifications. This will reinforce the overall condition of the Company network and reduce the risk of facility failure.

Q. Please summarize any significant changes in interference as it pertains to Con Edison since the Company's last rate filings.

A. Con Edison continues to perform interference work in tandem with New York State, New York City and Westchester County. The Company continues to coordinate at the organization level and will adapt to changing prioritization, municipal schedules, and contractor assignments per municipal bidding.

As further explained below, the Company's proposed reconciliation mechanism would address the risk of the

Company's interference costs increasing or decreasing significantly due to changes in municipal contract types, project phasing, or project prioritization. As a partner to the municipalities, the Company is not adopting a "Company first" mindset on these projects. Instead, it is collaborating with multiple stakeholders to achieve balanced overall project goals.

II. Municipal Infrastructure Expenditures – Resource Data

Q. Does the City of New York develop a forecast for its infrastructure expenditures?

A. Yes. The City of New York Office of Management and Budget ("NYC OMB" or "OMB") publishes the Capital Commitment Plan three times per NYC fiscal year.

Q. How does NYC OMB describe this document?

A. The NYC OMB describes this document as follows: "Presents information on capital appropriations and commitments with implementation schedules projected, and the ensuing three years for all active capital budget projects. These implementation schedules, derived by the respective agencies performing the project work, are the best assessment of the earliest possible start of the

implementation milestone (scope, design, construction, etc.) being reported."

Q. How often is this document published?

A. During NYC's fiscal year, from July 1st to June 30th, the publication is typically released on an annual basis in or around the calendar months of February, April, and September.

Q. Where is the Capital Commitment Plan published?

A. The OMB publishes the report on the official website of the City of NY.

https://www.nyc.gov/site/omb/publications/publications.page

Q. What budget categories of City infrastructure projects typically involve interference work?

A. The categories of City infrastructure projects that typically result in interference work are Highway, Highway Bridge, Sewers, Water Main 1 and Water Main 6.

Q. Explain the funding sources for the projects comprising the Capital Commitment Plan.

A. Projects under the Capital Commitment Plan may be funded by the City ("City Cost") or by other sources ("Non-City Cost" or "NC-Cost"). The Commitment Plan identifies both City and Non-City Cost funding sources and the Company is

responsible for interference costs related to projects in both categories.

Q. Why is this the case for Non-City Cost projects?

A. The Company is responsible for interference costs for non-city funded projects because even though they are not funded by the City, they are municipal projects done for the public interest and with City's approval. The aggregate of the two sources (City Cost and Non-City Cost) is the driver of the Company's expenditure.

Q. What are the OMB forecasts in the highway, highway bridge, Sewer, water main 1 and water main 6 budget categories for the upcoming NYC fiscal years?

A. The OMB Capital Commitment Plan, published in September 2024, forecasts $1,684.9 million in FY 2025, $2,057.0 million in FY 2026, $3,053.7 million in FY 2027 and $3,997.2 million in FY 2028 for these categories of City infrastructure work.

Q. Does the City of NY publish its actual expenditures?

A. Yes, the OMB publishes the Monthly Transaction Analysis report where the Company can review the expenditure categories of highway, highway bridge, sewers and water main.

Q. Was Exhibit ____ (MISP-1), entitled "NYC OMB EXPENDITURES AND FORECASTS" prepared under your supervision or direction?

A. Yes, it was.

Q. What does this exhibit show?

A. Exhibit ____(MISP-1) shows the OMB forecasts from the September 2024 Capital Commitment Plan, as well as the City's actual OMB expenditures for NYC fiscal years 2020 to 2024.

Q. Does the Company use resources other than the City's Commitment Plan to identify planned and ongoing projects that impact interference costs?

A. Yes, while the Commitment Plan is the Company's primary resource for long-range planning, it actively communicates with relevant City Agencies, State Agencies and Westchester municipalities to obtain additional project information that impacts the Company's interference expenditures. For example, the Company routinely communicates with NYSDOT, NYCDOT, NYCEDC, NYC Parks Department, NYCDEP, NYCDDC and the various Westchester municipalities.

Q. Are there particular categories of interference work in Westchester or done by the State that typically involve interference work?

A. Yes. Similar to New York City, the categories of infrastructure work that typically involve interference work are highways, highway bridges, parks, water mains and sewers.

A. Forecasting Methodology

Summary Information

Q. Did the Company modify the methodology used in its last electric and gas rate filing (Cases 22-E-0064 and 22-G-0065) to forecast interference costs for the Rate Year in this filing?

A. Yes. In the last rate filing, the Company used multiple methodologies to calculate a range of outcomes. For the current filing, the Company proposes transitioning to a singular methodology to facilitate more efficient cost reconciliation between municipalities and Con Edison.

Q. Briefly describe the singular methodology used in this filing.

A. In this filing, the Company used a regression model to develop its forecast. The regression model will be

discussed in further detail later in the O&M and Capital sections of this testimony.

Q. Do the Company forecasts account for changes in Federal, State or City planning, press releases or proposed legislation?

A. No. The Company's budget model was used in the summer of 2024 to derive forecasts. Any subsequent changes in municipal goals, municipal budget publications, community planning, project schedules (e.g., acceleration/delay), or contractor start dates are not factored into the capital and O&M forecasts.

Q. Why doesn't the model account for any changes since summer 2024?

A. The analysis is performed at a fixed point in time, specifically in the summer of 2024, with results derived from the information available during that period.

Q. Does the Company interference budget model account for changes in legislative proposals?

A. No. The model is based at a program level of historical interference expenditures. These prior interference costs are the basis of what the Company interprets as the capacity of prior contractor resource availability,

municipal project management capability, and multi-utility coordination. Since prior practice is not always indicative of the future, the Company did not include subjective variables into the model, as the Company cannot forecast elements such as contractor commitments and new contractors looking to perform this scope or municipal agency capacity.

Q. Is there a risk City, State or Federal commitments and investments will cause the Company's interference costs to significantly increase or decrease?

A. Yes. A change in fiscal commitments in the service territory can significantly impact the Company interference expenditures. To mitigate against these risks, the Company proposes a bilateral reconciliation mechanism discussed later in testimony.

B. O&M and Capital Forecasting Methodology

Q. How did the Company develop its O&M forecast for municipal interference?

A. The Company developed its municipal interference O&M forecast using a regression model.

Q. Please explain the foundation of the Company's regression model.

A. The regression model is based on Company expenditures as dependent upon and linked to City liquidations.

Q. Please explain what you mean by the term "liquidations."

A. Liquidations, as referenced in the City's documents, is a term used to describe the City's actual cash outlays, as opposed to future commitments.

Q. How do City liquidations drive the Company's expenditures?

A. Since municipal projects must first exist for the Company's legal obligation to take effect, then in theory, there would be zero interference costs if for some extreme reason there were no interference projects. Conversely, should NYC add projects, accelerate schedules, increase project scope, modify their resources to any project (bid, award, in-flight), then the Company would see a corresponding increase in Company forecasts and expenditures.

Q. Please explain the elements of the Company regression model.

A. The model runs a regression analysis utilizing seven years of historical Company expenditures and City liquidations, calculates and applies the exponential growth rate, applies growth rate starting with NYC's 2023 liquidations, then

applies a formula using the regression coefficient, which in turn is used to forecast Company expenditures.

Q. Please explain the results of the regression model the Company ran for this filing.

A. Assuming a perfect correlation between the City of New York and the Company there would be a 1.0 correlation coefficient. A perfect one-to-one relationship would mean that the two variables move exactly in the same direction.

Q. Under the Company's regression modelling, what is the correlation between the Company's O&M costs and City liquidations?

A. It is 0.67.

Q. How did the Company develop its capital forecast for municipal interference?

A. The Company developed the capital forecast using the same regression model methodology described above.

Q. Under the Company's regression modelling, what is the historical correlation between the Company's capital expenditures and City liquidations?

A. It is 0.15 in electric capital and 0.65 in gas capital.

Q. If the Electric capital correlation is significantly lower, when compared to gas capital and O&M, should parties therefore assume there is no correlation?

A. While the output of the regression model for Electric capital is not similar to the results for O&M and Gas Capital, i.e., the variance is low on the 1.0 correlation scale, the Company used the same methodology for all commodities because it believes the benefits of this approach outweigh any risks. Specifically, this approach is simple, transparent and allows costs to be properly and equitably allocated.

Q. What does the Company seek to achieve with its simplified forecasting methodology?

A. The Company forecast is seeking to achieve a baseline of costs that sets levelized funding for interference costs during the rate plan and, through a bi-lateral reconciliation mechanism, establishes a shared ownership risk by both the Company and customers.

Q. Explain any risks with this methodology.

A. The Company employs measures to mitigate the costs related to municipal infrastructure work, as discussed later in the Mitigation section of this testimony, but the Company has

no control over project and contractor selection, bidding methodologies, availability of municipal contractor resources, start dates or the duration of municipal projects. Moreover, the Company cannot dictate a contractor's construction means and methods and is therefore unable to forecast the resulting incremental cost impact.

III. INTERFERENCE O&M

Q. Please describe the O&M Interference costs.

A. The Company's O&M interference costs are the maintenance expenditures incurred when the Company is required to support, protect or maintain facilities due to interference with proposed City or other municipal facilities. O&M interference costs are most often associated with indirect interference but can also be associated with direct interference.

Q. Please provide the Company's recent actual O&M interference costs for electric and gas (excluding Company Labor) by calendar year and for the 12 months ended September 30, 2024 ('Historic Year').

A. The total O&M costs in 2020 to 2024 and the historic year were as follows: Electric O&M was $119.3 million in 2020,

$133.0 million in 2021, $145.9 million in 2022, $142.1 million in 2023, $134.5 million in 2024 and $134.7 million in the Historic Year. Gas O&M was $32.3 million in 2020, $22.4 million in 2021, $27.3 million in 2022, $28.5 million in 2023, $25.2 million in 2024 and $27.4 million in the Historic Year.

Q. What are the Company's O&M cost projections for Interference in the Rate Year (excluding Company labor)?

A. The Company is forecasting $151.8 million in electric O&M and $29.7 million in gas O&M expenditures in the Rate Year.

Q. Has the Company forecasted O&M interference expense (excluding Company labor) for periods beyond the Rate Year?

A. Yes. The Company has forecasted O&M interference expenses for two annual periods beyond the Rate Year (excluding Company labor). The Company is forecasting O&M expenditures of $151.7 million in electric O&M and $29.7 million in gas O&M expenditures for RY2. For RY3, the Company has forecasted O&M expenditures of $151.3 million in electric O&M and $29.6 million in gas O&M expenditures.

Q. Was exhibit ____ (MISP-2), entitled "ACTUAL AND FORECASTED O&M EXPENDITURES" prepared under your supervision or direction?

A. Yes, it was.

Q. What does the exhibit show?

A. Exhibit ____ (MISP-2) shows actual electric and gas expenditures for 2020 to 2024, as well as the historic year O&M expenditures. This exhibit also shows forecasted O&M expenditures for 2025 to 2029.

IV. INTERFERENCE CAPITAL

Q. Please describe the capital costs associated with interference.

A. The Company's capital interference costs are expenditures incurred when the Company is required to relocate its facilities to a new location due to interference with proposed municipal facilities. Capital interference costs are most often associated with direct interference.

Q. What were the total capital interference costs incurred between calendar years 2020 to 2024.

A. The total capital costs in 2020 to 2024 and were as follows: Electric Capital was $163.9 million in 2020, $136.9 million in 2021, $207.3 million in 2022, $163.4 million in 2023, and $190.8 million in 2024. Gas Capital was $126.0 million in 2020, $79.4 million in 2021, $66.1

million in 2022, $50.8 million in 2023, and $57.9 million in 2024.

Q. What is the forecast for capital expenditures related to interference going forward?

A. The Company is forecasting from RY1 to RY3 the following expenditures: Electric Capital forecast is $168.6 million in RY1, $168.2 million in RY2 and $167.8 million in RY3. Gas Capital forecast is $80.6 million in RY1, $82.5 million in RY2 and $84.4 million in RY3.

Q. Was exhibit ____ (MISP-3), entitled "ACTUAL AND FORECASTED CAPITAL EXPENDITURES" prepared under your supervision or direction?

A. Yes, it was.

Q. What does the exhibit show?

A. Exhibit ____ (MISP-3) shows actual electric and gas capital expenditures for 2020 to 2024. This exhibit also shows forecasted capital expenditures for 2025 to 2029 for electric and gas.

V. MITIGATION

Q. What measures has the Company undertaken to mitigate interference costs and schedule delays?

A. In addressing interference costs and scheduling delays, the Company is required to adhere to state and municipal statutes, codes, regulations and other established protocols. Given the nature of interference work and that this work (and related expenditures) is driven by factors outside of the Company's control, our opportunities for mitigation measures are limited. Notwithstanding these limitations, the Company has implemented the following initiatives to mitigate interference costs:

Pre-engineering practices:

Con Edison's first opportunity for cost mitigation is during a project's initial design and planning phases. The Company takes this opportunity to study the agencies' scope of work and perform an in-depth analysis to determine the type, nature, and extent of the interferences. During the planning phase of agency projects, the Company may suggest, request and/or discuss with the municipal agency possible scope changes to minimize interferences and request design accommodations. The Company also provides consulting support to the field that assists to mitigate the impact of unanticipated, as-found subsurface conditions during construction. Additionally, when the municipality

determines the street will be excavated, Con Edison will use this opportunity to consolidate existing infrastructure and reduce maintenance costs while still providing the same level of service capacity. For example, when multiple service boxes or manholes exist on a block, the Company can redesign, consolidate, and reduce the number of structures, thereby future maintenance costs. Moreover, consolidating structures provides for additional subsurface space in the streets for future use by the Company, the City or other utilities.

Coordination with other Company capital projects:

To the extent practicable, the Company bundles interference work with other Company capital projects to mitigate redundancy by looking for synergies during both the municipal engineering phase and construction phases, (such as new business, system upgrades, gas main replacement, and/or other system reliability work) with the proposed municipal project. This effort results in minimizing adverse impacts to the community by reducing redundant street openings.

Advanced relocation:

When feasible, the Company utilizes advanced relocation of Company facilities to avoid interferences with City facilities. The goal of performing work in advance of a municipal project start is to minimize the impact on the municipal project schedule and address complex Company conditions utilizing company resources. By performing work ahead of the municipal start the Company aims to reduce Company scope performed by the municipal contractor and reduce the risk of project delays to the community.

Joint bid protocol:

For work performed under the Joint Bid protocol, the utility interference scopes are included in the City bid documents. The City and the various utilities jointly coordinate their work from the onset of the project and both City and utility work is managed with aligned project oversight, which generally results in improved project scheduling and more efficient construction management, providing for an overall enhanced customer experience. The program has evolved from Lower Manhattan in 2004 to Citywide in 2017 and is currently in its fifth iteration in coordination with utility partners. Joint Bidding is scheduled to sunset December 31, 2025 but all stakeholders

are working together for a mutually beneficial 10 year extension.

Negotiating team:

The Company uses a negotiating team concept when entering into agreements. The team consists of the estimator, the project engineer, and the borough manager. The negotiating team has been successful since inception by facilitating pricing uniformity for work items throughout the service territory and standardizing commonly used items through evaluation from estimating time studies. Additionally, time studies support challenges from contractors in arbitration when the pricing offered by the Company is perceived to be inconsistent with fair market value.

Q. What impact to Company expenditures, forecasts and schedules would there be if these mitigation opportunities were not performed.

A. While it is difficult for the Company to quantity dollar for dollar per mitigation step, it is affirming that without a cost-conscious mindset, the Company would be incurring significantly higher expenditures without acting in an ethical and moral manner to offer industry based

knowledge during design, engineering, estimating, negotiation and construction phases of a project.

Q. Are each of these mitigations explained above a rigid set of rules and requirements?

A. Each mitigation referenced above is an evolving and maturing business practice that is constantly undergoing growth. Each mitigation referenced above has interdependency with other mitigations. Best summarized, without coordinated municipal agency engineering, multi utility scope alignment, and shared utility planning there could be no construction phase of a municipal project.

VI. RECONCILIATION

Q. Does the Company's current electric and gas plans provide for reconciliation of capital and O&M expenditures related to interference?

A. For O&M expenses, the plan provides for full downward reconciliation of actual expense below the targeted level of expenses and reconciliation of amounts (other than Company labor) for up to 15 percent above the targeted level of expenses, shared on an 80/20 basis between customers and the Company, respectively, with limited exceptions as set forth in the rate plan.

For electric capital expenditures, Municipal Infrastructure Support costs are part of the electric net plant, with a limited upward reconciliation for certain interference capital costs.

For gas capital expenditures, Municipal Infrastructure Support costs are part of the gas net plant, with a limited upward reconciliation for certain interference capital costs.

Q. Is the Company proposing any modifications to these mechanisms as they apply to either capital or O&M expenditures?

A. Yes. The Company proposes full reconciliation of electric and gas Municipal Infrastructure Support capital expenditures. If these expenditures exceed their respective net plant targets, the Company would recover carrying charges on the amount of net plant that exceeds the aggregate net plant target through a surcharge. Additionally, the Company is seeking full reconciliation on both electric and gas O&M expenditures. These proposals are supported in the manner outlined by the Company's Accounting Panel.

Q. Why should the Commission adopt full reconciliation of Municipal Infrastructure Support for capital and O&M expenditures?

A. Interference costs are beyond the Company's direct control, are not subject to reasonable estimation, are driven by the infrastructure work performed by the City, State and other municipalities, and constitutes work the Company is required to perform pursuant to a schedule established by the municipality that often requires a significant diversion of Company resources and significant incremental costs. Moreover, there is no ability to modify these terms after the completion of this petition should changes in City, State, Federal politics, community needs or municipal agency planning reprioritization have significant cost impacts.

Accordingly, the Company believes that rate should reflect a reasonable estimate of these expenses and then be subject to full reconciliation, as further explained by the Company's Accounting Panel.

Q. Should there be a concern that the Company will not seek to minimize costs if there is full reconciliation of these expenses?

A. No. The Company has demonstrated a longstanding and consistent approach to mitigating these costs, to the extent practicable, and continued coordination between the City and the Company during the design and construction stages, which is a critical component of the continued success in controlling rising costs. The Company has consistently followed this approach, including and during periods where a bilateral reconciliation mechanism for interference expenses was in place. Moreover, these cost mitigation efforts are ingrained in the Company's efforts to implement cost management improvements.

Q. Does this conclude your direct testimony?

A. Yes, it does.